CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E9823B0AC
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Jeffery Fawcett <jeffery.fawcett@enron.com>
Sent: Tue, 27 Feb 2001 05:37:00 -0800 (PST)
To: Jeff Dasovich <jeff.dasovich@enron.com>
Subject: El Paso Merchant may relinquish capacity

Jeff,
We've got the entire breakdown on "who got what" in the open season. The following is incomplete, but represents the bulk of what was subscribed....

Burlington- 7,000
CEG Energy Options- 37,800
Coral- 15,000
Duke- 212,000
Dynegy- 56,500
El Paso Merchant- 277,000
ENA- 254,000
MGI Supply (Pemex)- 38,000
Oxy- 19,000
PG&E (et al.)- 151,000
SMUD- 10,000
Sempra Trading- 6,500
SoCal- 19,000
Texaco- 58,500
Williams- 11,500

Here's the other EPNG news flash... apparently, EPNG is telling shippers to be on the lookout for an announcement next week of another open season to gauge shippers interest in a major expansion of its system. I'm assuming at this point this project will include the All American pipeline asset.

I'm also now told that the Kern River expansion may be much larger than what we were led to believe a couple of weeks ago. We heard earlier that they were looking at doing a 500 MMcf/d expansion that would include the 124 MMcf/d expansion already sold. New information suggests that the 500 MMcf/d expansion may be significantly understated, and volumes may approach 700 - 800 MMcf/d. The expansion would include not only compression, but would involve additional pipe, and would not be rolled into existing rates, but would be an incrementally priced project.

-----Original Message-----
From: Dasovich, Jeff
Sent: Tuesday, February 27, 2001 12:23 PM
To: Shapiro, Richard; skean@enron.com; Parquet, David; Chris Calger@ENRON; Etringer, Michael; McCubbin, Sandra; Mara, Susan; Kingerski, Harry; Fawcett,

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ENRON-702578239583

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Jeffery; Scott, Susan; Harris, Steven; Fossum, Drew
Subject: El Paso Merchant may relinquish capacity

----- Forwarded by Jeff Dasovich/NA/Enron on 02/27/2001 12:20 PM -----

Rebecca W Cantrell@ECT 02/27/2001 10:22 AM To: Barry Tycholiz/NA/Enron@ENRON, Colleen Sullivan/HOU/ECT@ECT, Donna Greif/HOU/ECT@ECT, James Shirley/HOU/EES@EES, Jane M Tholt/HOU/ECT@ECT, Jeff Dasovich/NA/Enron@Enron, Patti Sullivan/HOU/ECT@ECT, Paul Kaufman/PDX/ECT@ECT, Phillip K Allen/HOU/ECT@ECT, Randall L Gay/HOU/ECT@ECT, Robert Superty/HOU/ECT@ECT, Roger O Ponce/HOU/EES@EES, Stephanie Miller/Corp/Enron@ENRON, Susan J Mara/NA/Enron@ENRON, Suzanne Calcagno/NA/Enron@Enron, Tori Kuykendall/HOU/ECT@ECT cc: James D Steffes/NA/Enron@Enron, Leslie Lawner/NA/Enron@Enron Subject: El Paso Merchant may relinquish capacity

From today's Gas Daily, in case you haven't seen it yet.....

El Paso Merchant Energy will be passing up on its right of first refusal for up to 1.22 billion cfd of capacity on El Paso Natural Gas, sources said yesterday. El Paso would not comment on the report but said the company would issue a statement soon.

The capacity, from the San Juan Basin to California, was open for bids until Feb. 12, and El Paso Merchant Energy held a right of first refusal at six receipt points until May 31. El Paso Merchant paid $38.5 million for the capacity, which was previously held by Dynegy Energy Marketing.

The capacity has been the source of controversy in the wake of California■,s ongoing energy crisis, with companies concerned that an affiliated company held the pipeline capacity. The California Public Utilities Commission alleged in a FERC complaint that the agreement between the companies was "rigged" (GD 1/11).

"There has been a lot of pressure," said Gordon Howald, an analyst with Credit Lyonnais Securities. "Everyone is blaming them for what■,s going on in California, though I believe

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FERC did clear them."
Howald said that giving up that capacity and allowing the "market to decide the value"
would help El Paso on two fronts.
"It probably makes sense considering the pressure they■,ve been under from regulators,"
Howald said. And "their pipeline operations could essentially garner some higher profitability
if they are able to increase the value of that capacity in an open season." RW